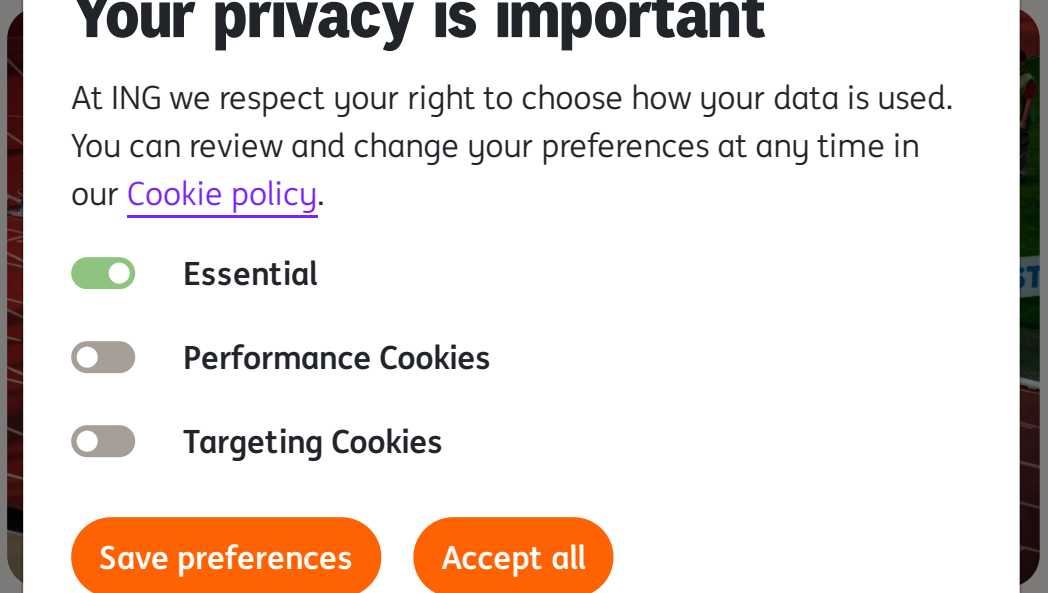
Join Chris Turner, ING's Global Head of Markets, and FX Strategist Francesco Pesole on 16 November as they reveal their G10 FX winners and losers for 2027 and explore the key themes driving currency markets in the year ahead. Sign up here

Chris Turner and Francesco Pesole



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Solid US growth, above-target inflation and a hawkish Fed are keeping the dollar near the highs of the year. And despite an abundance of possible risks, FX volatility remains remarkably low. Heading into 2027, the big questions are how much further the Fed has to hike, how much more the dollar has to rally, and whether FX volatility can stay low.

Join Chris Turner (Global Head of Markets and Regional Head of Research UK & CEE) and Francesco Pesole (FX Strategist) to explore these themes.

You'll learn:

- The G10 FX winners and losers

- ING's views on the main themes driving core FX trends in 2027
- EUR/USD scenario analysis
- The factors weighing on FX volatility and the outlook for next year

Details

Date: Monday, 16 November

Time: 1400 GMT/1500 CET/0900 ET

The webinar will last 30 minutes, including a Q&A session at the end.

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Join ING's Dmitry Dolgin, James Wilson and Egor Fedorov on Thursday 19 November as they discuss the outlook for the Caucasus and Central Asia. The discussion will span Armenia, Azerbaijan, Kazakhstan, Kyrgyzstan, newly added to our coverage, and Uzbekistan, bringing together macro, sovereign and corporate credit perspectives. Sign up here

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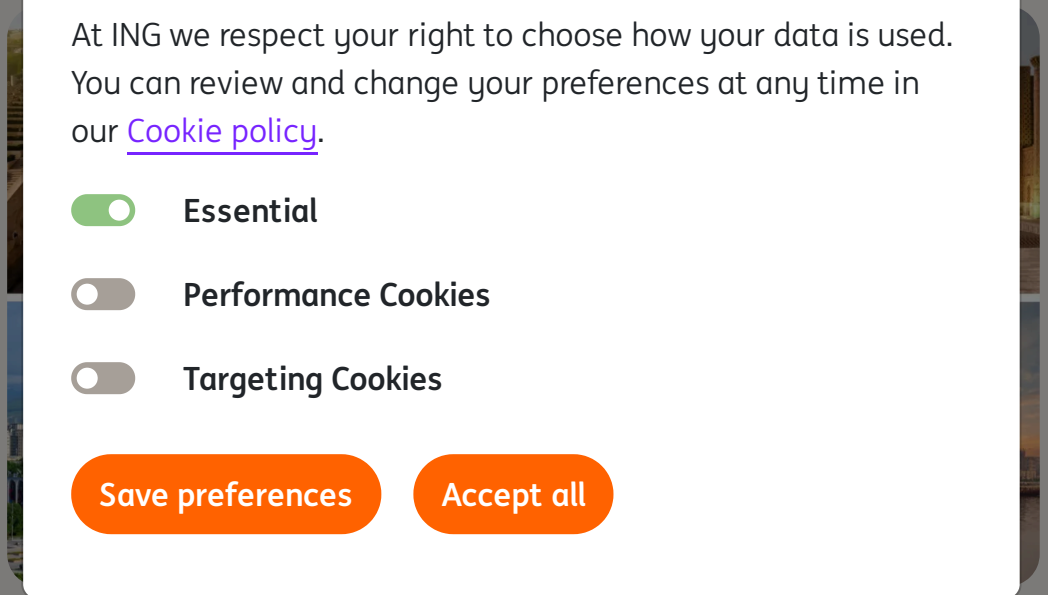

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The Caucasus and Central Asia have emerged from recent global shocks with stronger sovereign balance sheets, improving credit ratings and growing international investor interest. But can that resilience continue into 2027, and how is the investment landscape changing as the region becomes more accessible to global capital?

Join ING's Dmitry Dolgin, Chief Economist, CCA and Russia, James Wilson, Sovereign Debt Strategist, and Egor Fedorov, Senior Credit Analyst, as they discuss the macro, sovereign debt and credit outlook for the region. Sign up here

We'll explore:

- After several years of sovereign rating improvements, how much further can the region's credit convergence go, and how much of the good news is already reflected in market valuations?
- What could deeper local markets, growing international participation and a broader issuance pipeline mean for the region's market access?
- What are the key corporate credit stories to watch across the region?
- Can CCA economies and currencies remain resilient in 2027 against a challenging global backdrop?

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CCA

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October inflation interrupted the recent disinflation trend but does not appear sufficient to alter the broader policy outlook. The Central Bank of Turkey is likely to maintain its easing cycle, while geopolitical risks, reserve dynamics, and depositor behaviour remain the principal determinants of the macroeconomic trajectory

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Turkey's economy at a glance

- While slightly higher-than-expected CPI data interrupted the downward trend in October, we continue to expect annual inflation to end the year below 30%. Uncertainty around oil prices, and the knock-on effects on other commodities, continues to pose near-term risks to the inflation outlook. A sustained escalation in US-Iran tensions would add rapidly to price pressures, particularly as the sliding-scale mechanism continues to be unwound.
- At its last MPC meeting, the Central Bank of Turkey adjusted its guidance, placing greater emphasis on the timing and

magnitude of future policy steps rather than a cautious, meeting-by-meeting approach.

- This suggests the easing cycle is likely to continue in December unless there is a material change in underlying conditions. In our view, October's inflation reading is unlikely to alter this course.
- The key risk for CBT policy will remain the Middle East conflict and a shift in the disinflation path. The bank will also continue to closely monitor demand conditions, international reserves and depositor behaviour to determine future policy actions. The inflation report released on 12 November could also provide additional evidence on the inflation developments and the scope for further monetary easing ahead.

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- after declining in September and October amid weaker confidence and the closure of certain investment funds, CBT reserves rebounded strongly in early November.
- The central government budget registered a deficit of around 3.0% of GDP on a 12-month rolling basis as of September, narrower than the 3.9% deficit recorded in the same month of the previous year. The primary balance, which recovered from a deficit of 0.4% of GDP in the same period last year to a 0.3% surplus, also points to an improvement on the fiscal front.

Quarterly forecasts

	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
Real GDP (%YoY)	2.3	3.3	2.9	3.1	3.8	4.9	5.8	4.8
CPI (eop, %YoY)	32.1	29.7	29.3	27.5	25.7	25.7	26.0	24.3
Central bank key rate (eop, %)	37.00	37.00	35.00	33.00	31.00	30.00	30.00	29.00
3m interest rate (eop, %)	42.98	41.22	37.36	34.13	32.12	30.64	28.86	27.78
10yr yield (eop, %)	33.21	35.50	33.99	33.37	31.19	31.13	29.69	27.69
USD/TRY exchange rate (eop)	46.64	48.95	51.50	54.31	57.08	59.81	62.50	65.38
EUR/TRY exchange rate (eop)	53.30	55.48	58.20	61.37	66.22	69.98	73.75	77.80

Source: Various sources, ING

FX and rates outlook

The market was not significantly shaken by October's higher-than-expected inflation. In the global rally, TRY OIS rates have tested new l
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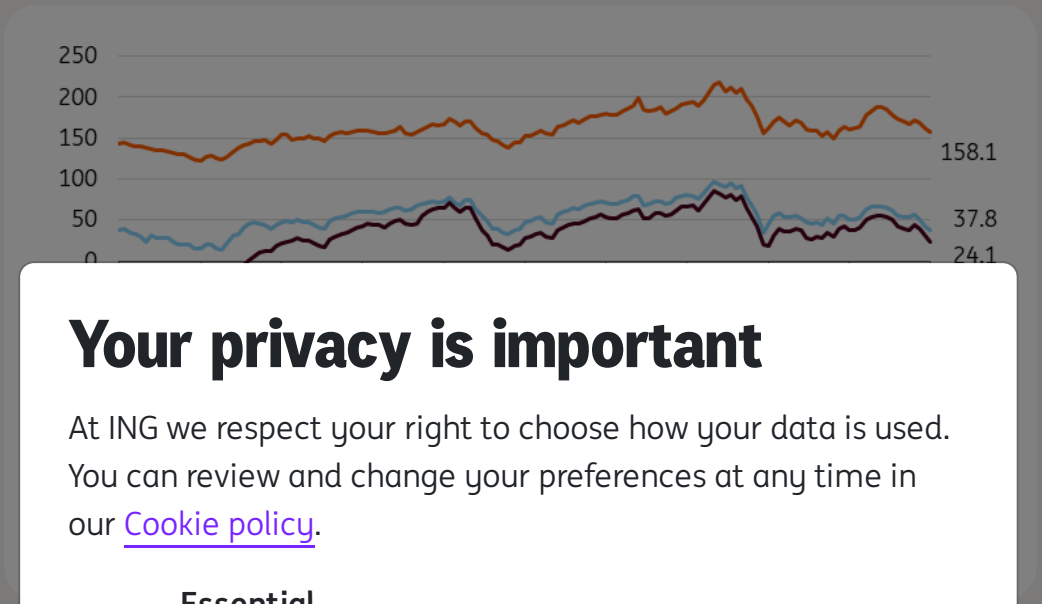
In FX, we expect the current managed depreciation regime to remain in place, with no further increase in the pace of lira weakness unless there is a significant external shock. FX stability remains a key anchor for disinflation and demand for TRY assets, while the central bank is also seeking to limit excessive real appreciation. Reserve dynamics and resident dollarisation will remain key for the policy outlook. With the return advantage of lira deposits over FX narrowing, any renewed dollarisation could constrain further rate cuts or prompt the central bank to pause. For now, however, resident FX demand remains contained, allowing gradual monetary easing to continue while maintaining sufficient carry to compensate investors for ongoing currency depreciation.

Foreign investor positioning rebounded after the initial US-Iran conflict shock, with FX swaps now at highs above pre-war levels. However, year-to-date, bond inflows remain modest. **We expect USD/TRY to reach 52.00 by the end of this year and 63.00 by the end of 2027.**

CBT reserves (US$ bn)



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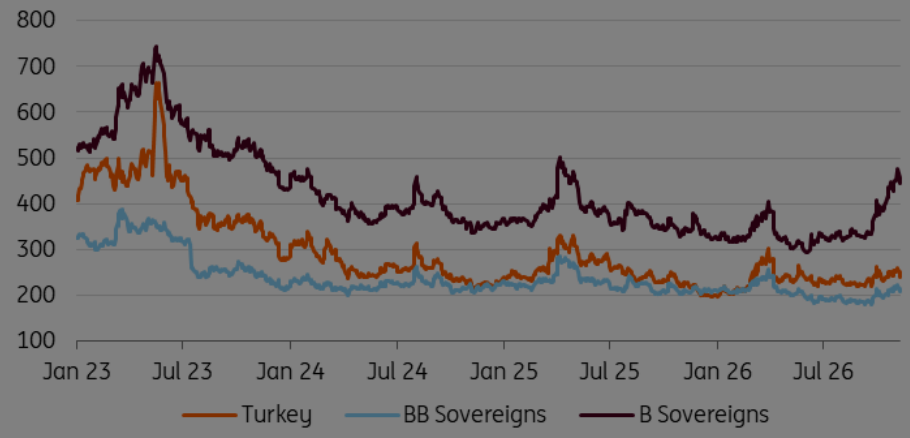
despite some tightening in recent weeks. We expect investor demand to remain robust, supported by the solid local bid, while external issuance should be steady with $13bn planned for next year at the sovereign level.

US$ Bond Sub-Index Spreads vs USTs



Source: Refinitiv, ING

The Treasury's borrowing plan for 2027

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the planned TRY6,762bn in domestic borrowing could be raised through the market, equivalent to 5.3% of GDP.

Last year, the Treasury announced that it would borrow US$13bn in 2026, and has secured US$12.2bn, so far. According to the Treasury's own projections, it will repay US$4.8bn in the last quarter of 2026 and US$20.1bn (US$12.7bn of this amount is principal) in 2027. Despite the heavy schedule, it plans to raise issuance to US$13bn next year, while the CBT's strong reserve position should provide some support.

Despite high external funding plans, domestic borrowing requirements seem to be elevated, given high budget deficits in

recent years and a high interest rate environment. The rate outlook and sustained foreign investor appetite will be key, particularly given the CBT's commitment to maintaining a tight monetary stance even as the easing cycle progresses.

Details of the programme

% of GDP	2026 (programme)	2026 (realization)	2027 (programme)	YOY Chg 2026P
I. Total debt service	7.0%	7.3%	7.2%	27.3%
Domestic debt service	5.9%	6.2%	6.2%	28.2%
Principal	3.2%	3.4%	3.0%	12.2%
Interest	2.8%	2.8%	3.2%	47.6%
External debt service	1.1%	1.1%	1.1%	22.6%

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from 29.73% a month earlier and above the CBT's forecast of 28%, reflecting volatile and seasonal factors. In our view, however, the increase is unlikely to cause significant concern for the central bank. Core inflation (CPI-C) rose by 2.1% month-on-month, below the level recorded last year, leading to a drop in the annual rate to 28.3%. Meanwhile, the CBT's management of the currency continued to support disinflation through the cost channel. The lira depreciated by a modest 1.7% on average in October and 18.4% year-on-year, significantly less than inflation over the same period, helping to contain imported price pressures.

In the breakdown, food and clothing made the largest contributions to the headline rate (with 0.84ppt and 0.82ppt, respectively).

Benign processed food, which recorded a pronounced slowdown in comparison to the same month last year, limited the adverse seasonal effects from processed food. Clothing, on the other hand, spiked on the back of seasonality, though remained close to the last four-year average. The transportation group followed with a 0.36ppt contribution to the headline rate, driven by higher energy prices and the gradual unwinding of the special consumption tax (SCT) on fuel products.

Inflation expectations and CBT forecast (12m-ahead, YoY%)

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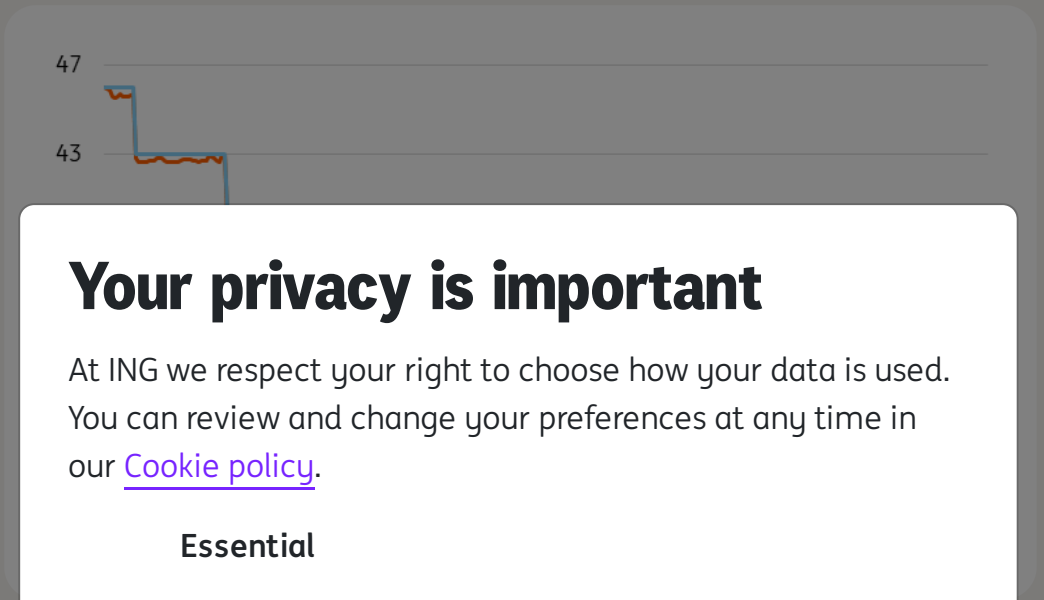
T… more to come

In October, the CBT resumed policy rate cuts (1-week repo rate) after a long pause since January, reducing the rate by 100bp to 36%, while keeping the width of the interest corridor unchanged at 450bp. The move, in line with expectations, reflected its assessment of the September inflation outturn and softer economic activity, despite Brent oil trading at around US$110 per barrel at the time of the decision amid risks stemming from Middle East geopolitics.

Regarding forward guidance, the central bank had previously emphasised that monetary policy decisions would be taken with a cautious, meeting-by-meeting approach focused on the inflation

outlook. In this month's forward guidance, however, it altered its wording and shifted this emphasis to the magnitude and timing of future policy steps. This change implies that, unless there is a material shift in the conditions that have prompted the easing cycle, the Bank is likely to continue its rate-cutting process in December as well.

The policy rate vs. interbank O/N rate



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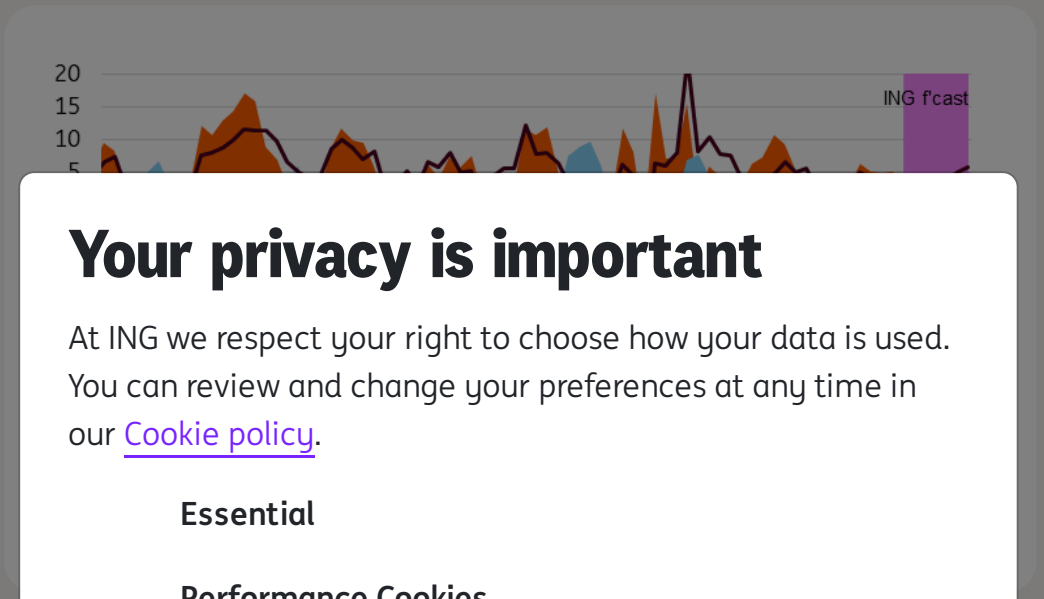
increases in capacity utilisation and real sector confidence, October indicators suggest that activity will remain subdued in the final quarter of 2026. The PMI remains weak, real sector confidence has reversed direction and services confidence has fallen back to May levels.

Consumption indicators also point to some loss of momentum amid restrictive financial conditions and macroprudential measures, despite the CBT lowering its funding cost from 40% to 36% since late August. Slower consumer card spending and consumer loan growth, excluding mortgages, are also weighing on domestic demand. In addition, consumer confidence fell sharply

from 91.92 in September to 84.82 in October, its second-largest monthly decline since 2004.

Overall, the economy remains on a moderating growth path in the second half of the year. The recent disruption to investment funds is likely to put further pressure on domestic demand, increasing the downside risks to our full-year GDP growth forecast of 2.8%.

Real GDP (%YoY) and contributions (ppt)



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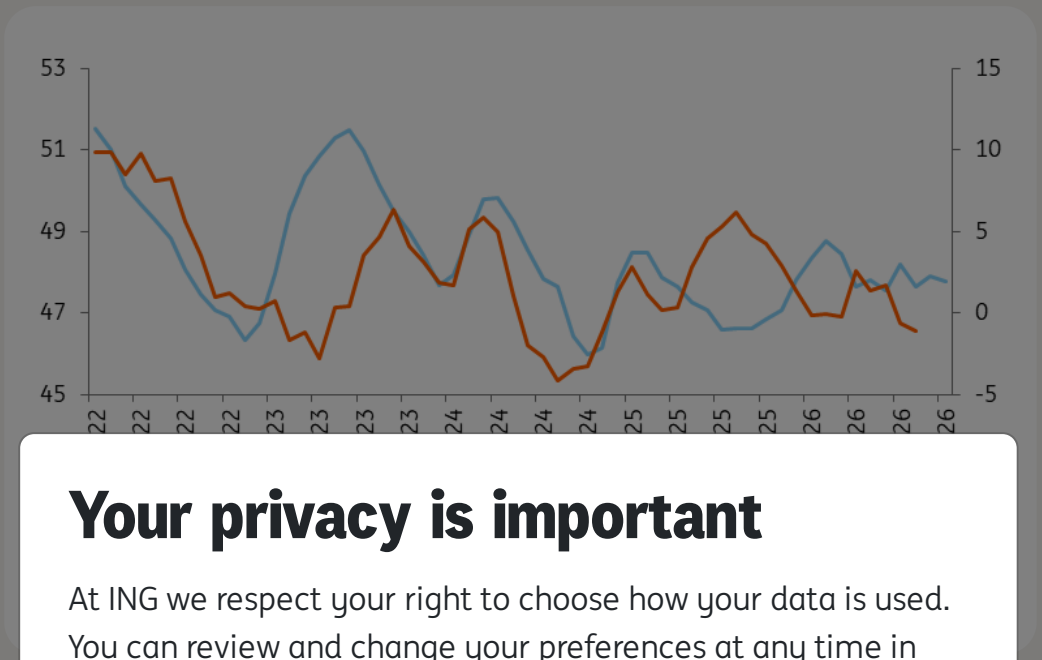
more pronounced momentum loss in the manufacturing sector. The weakening in the PMI is attributable to i) a slowdown in new orders on the back of challenging market conditions; ii) lengthening of suppliers' delivery times attributable to growing sea transportation challenges amid ongoing geopolitical risks and; iii) continuing pricing pressures due to higher energy prices as well as rising raw material costs. Accordingly, manufacturers scaled back their output at a faster pace to limit inventory build-up.

Findings from the sectoral PMIs, on the other hand, confirmed the picture of continued input price pressures. Six of the ten sectors recorded declines in their PMIs, while food was again the standout

among those recording increases, remaining above the 50 threshold.

PMI & Industrial Production



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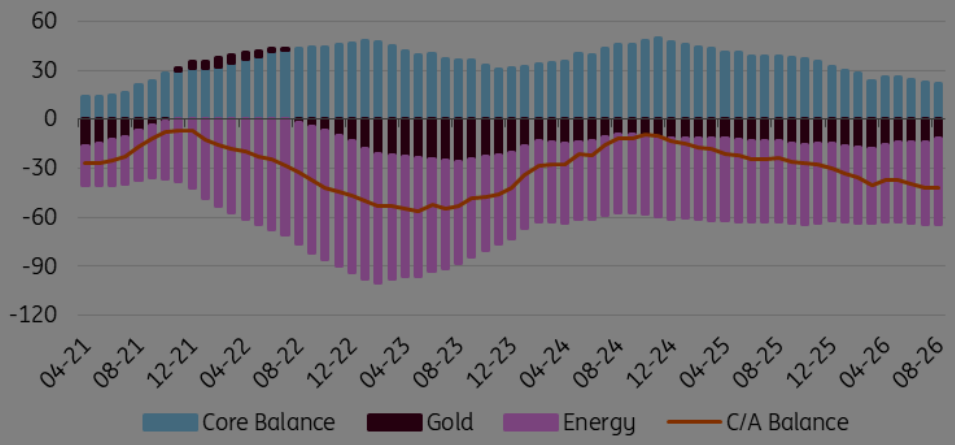
little change. Based on developments so far, including higher energy prices linked to regional conflicts, we expect the current account deficit to widen from 1.9% of GDP in 2025 to 2.4% in 2026, with risks pointing to a larger deficit.

The capital account weakened compared with the previous month, posting net outflows of US$1.4bn. However, US$4.5bn in inflows through net errors and omissions, together with the current account surplus, helped lift official reserves by US$7.1bn in August.

Current account (12M rolling, US$bn)



Source: CBT, ING

Budget deficit below target, despite rise in S

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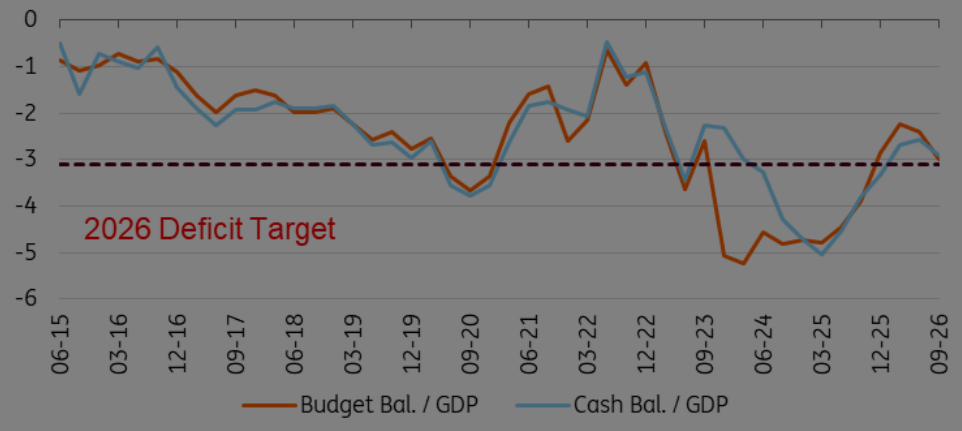
532.2bn, exceeding the TRY 309.6bn deficit recorded in the same month of the previous year. As a result, the rolling 12-month budget deficit rose to TRY 2,422bn. As of end-September, the ratio of the rolling 12-month budget deficit to GDP stood at 3.0%, remaining below even the revised Medium-Term Programme (MTP) forecast of 3.1% (revised down from 3.5%). This is a positive development.

Budget performance



Source: Ministry of Treasury and Finance, ING

Unemployment rate returned to 8-9% range i

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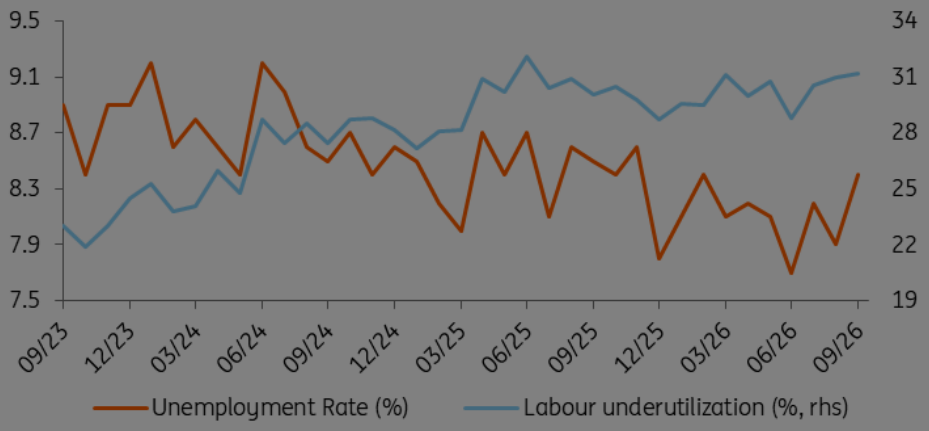
deterioration compared with the previous month. The inactive labour force rate, which comprises time-related underemployment, the potential labour force, and unemployed persons, grew by 0.2ppt to 31.2%. Although this indicator typically exhibits a volatile pattern, it has been in an upward trend in recent years.

Labour market outlook



Source: TurkStat, ING

Turkey | Sovereign rating | Monthly Update | Monitoring

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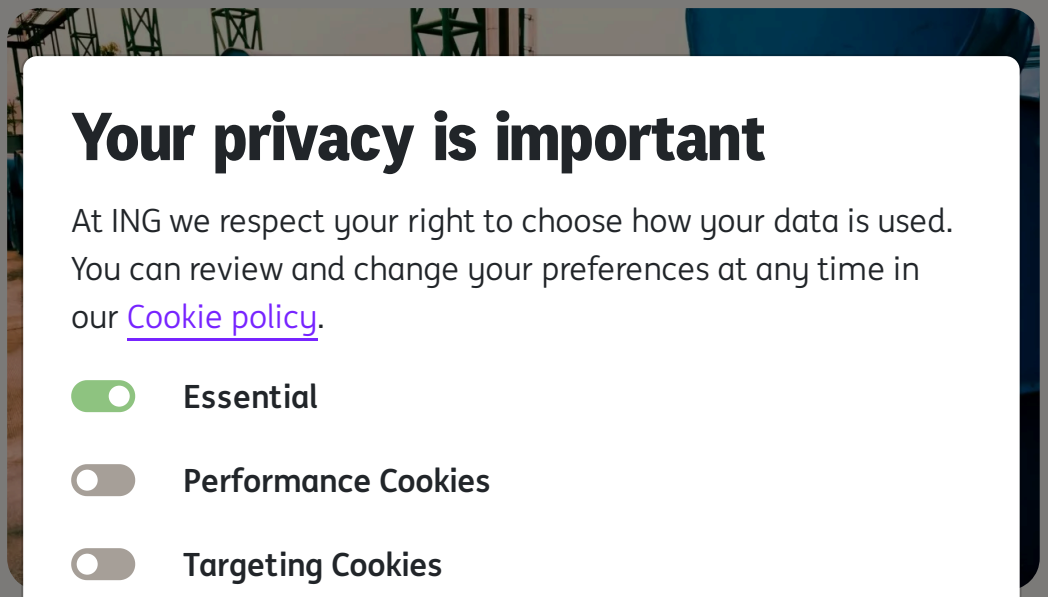
Oil prices edged higher this morning after falling below $90/bbl yesterday, supported by lingering US-Iran uncertainty despite bearish inventory data

Ewa Manthey and Warren Patterson



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E uncertainty persists

Oil prices edged higher in early trading today after falling below $90/bbl yesterday. While expectations of improving Middle Eastern supply availability and bearish US inventory data have weighed on the market, uncertainty around the US-Iran conflict continues to provide some support.

US inventory data added to the bearish tone. API figures showed crude stocks increasing by 9m barrels last week, compared with expectations of a draw of around 0.6m barrels. Inventories at Cushing rose by 182k barrels, while gasoline stocks were broadly

unchanged and distillate inventories increased by 1.5m barrels. Attention now turns to official EIA data due later today.

The latest EIA outlook also points to continued growth in US supply. The agency marginally lowered its 2026 crude production forecast to 13.86m b/d, still around 200k b/d higher year-on-year, while its 2027 forecast remains at 14.3m b/d, implying growth of roughly 440k b/d. US petroleum demand is expected to remain broadly flat at 20.6m b/d this year before increasing to 20.9m b/d in 2027. The EIA also raised its gasoline and diesel price forecasts for next year, reflecting continued tightness in fuel markets.

There are also signs that Middle Eastern producers expect supply conditions to improve. ADNOC has reportedly reduced the premium f
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disruptions leave the market vulnerable to renewed upside.

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Metals – Gold recovers as physical demand provides support

Gold edged higher in early trading on Wednesday after coming under pressure from a stronger dollar and a sharp rise in US Treasury yields. Hotter-than-expected US inflation data has reinforced expectations that the Federal Reserve could raise rates again in December, creating another near-term headwind for the precious metal.

However, gold continues to find support around $4,000/oz. Central-bank purchases and firm Asian physical demand are helping

cushion the impact of tighter monetary policy expectations. While uncertainty over the Fed's next move could keep prices volatile in the short term, underlying demand remains supportive.

Meanwhile, speculative positioning across base metals remained subdued. The latest COTR data showed net bullish positions in copper falling by 1,094 lots to 34,449 lots as of 6 November. Aluminium net longs declined by 430 lots to 86,442 lots, driven largely by a 10,218-lot increase in gross shorts. Zinc saw a further reduction in bullish positioning, with net longs falling by 463 lots to 27,361 lots, the lowest level in more than a year.

Commodities Feed

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The dollar is trading close to the year's highs after US inflation came in hot for the third month in a row and the Fed's Chris Waller threatened to vote for a 50bp rate hike in December. Bearish yield curve flattening is typically good for the dollar and bad for procyclical currencies, as the monetary brakes are applied. Expect the dollar to hold gains today

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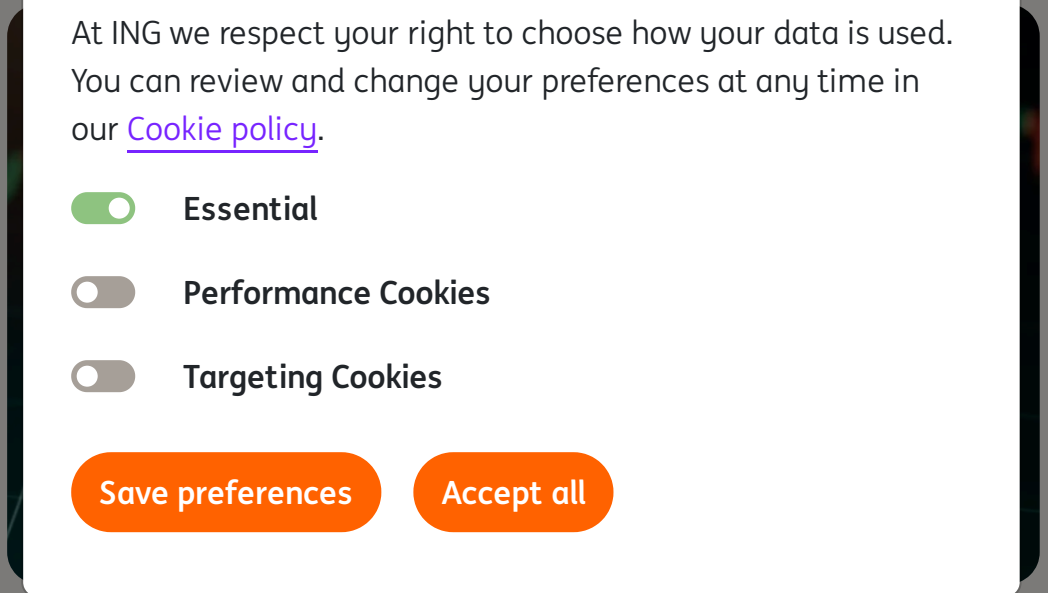

We're seeing the US yield curve bear flatten, and that's a dollar positive

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USD: Big moves in short-dated rates

The Fed's Chris Waller tossed a hawkish grenade into money markets early yesterday with his threat to vote for a 50bp rate hike at the 9 December FOMC meeting. He conditioned this on the October CPI data coming in hot for the third month in a row, which it subsequently did. The comments and the CPI print contributed to a 20bp rise in short-dated Treasury yields and a 7bp flattening in the 2-10 year curve. The case is increasingly building for the Fed to take rates into restrictive territory to slow aggregate demand and bring inflation back to target. That has been the stated aim of Fed

Chair Kevin Warsh since his first FOMC press conference in June. While Waller's suggestion of a 50bp hike in December may be too aggressive for many of the FOMC voters who favour gradual tightening, his comments keep alive the prospect that the Fed needs to hike three more times.

What does this mean for FX? Bearish flattening of the US yield curve as the Fed takes rates into restrictive territory is normally good for the dollar against activity currencies. Here, activity currencies underperform as the world's most important central bank wants to slow aggregate demand. We did kind of see that price action yesterday, with the Norwegian krone and Swedish krona underperforming in a strong dollar environment, although t
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resistance at 102.85/103.00 sooner rather than later.

Chris Turner

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EUR: Holding support at 1.11

A high technical level at 1.1110 is currently providing the floor for EUR/USD. This marks the 50% retracement of the 25 March to 26 Jan rally and is probably a good level for speculative accounts to book some profits on short EUR/USD positions. But the case for a bounce from this support region is weak. Yes, it looks very likely that the ECB will match a Fed hike in December, but the case for an extended ECB tightening cycle is far weaker than that of the Fed. And despite seasonal trends normally being bullish for EUR/USD in

December, we instead think a hawkish Fed will be the dominant theme into year-end and EUR/USD will at some stage want to press the lower end of a 1.10-1.15 range.

The eurozone calendar is quiet today, but a few more ECB speakers will likely prove supportive of a hike to 2.75% at the 17 December meeting. Elsewhere, today's national strike in Spain will only remind investors of the political challenges Europe faces later this year and into next.

Expect EUR/USD to trade well within a 1.1140-1.1200 range today.

Chris Turner

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through resistance at 159, but we increasingly think investors will be looking to acquire cheap yen should USD/JPY push above 160 again.

Chris Turner

CEE: It's all about gas

Hungarian inflation remains benign despite headline CPI rising to 2.0% in October. The increase was largely driven by fuel prices, while core inflation remained subdued at 2.1%, with no convincing signs of second-round effects. The bigger test will come during the winter repricing season as higher energy costs feed through. We expect inflation to reach 3.0% in December and average 3.4% in

2027. For the National Bank of Hungary, inflation already provides room for easing, but global risks remain the key constraint. We expect rates to stay at 5.50% through year-end, with further cuts more likely in the second half of 2027.

In the Czech Republic, headline inflation was confirmed at 2.4%, while core inflation remained unchanged at 3.1%, one-tenth of a percentage point below the Czech National Bank's forecast. This does not significantly alter the outlook for the CNB. Both our projections and those of the CNB suggest that headline inflation will continue to rise, heading toward 3% in December and approaching 4% in January and February due to new-year repricing and base effect. Subsequently, inflation should begin to d
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struggled to move lower. Arguably, gas has greater importance to the CEE region, particularly ahead of winter.

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Consequently, despite the temporary relief in the market driven by falling oil prices, we view the global environment as remaining challenging for the CEE complex, and we maintain our view of higher levels in EUR-cross pairs, as we have noted in previous days.

Frantisek Taborsky

FX

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US Treasury bonds were quick to sell off as US CPI surprised to the upside. We think EUR and GBP rates should be wary of blindly following US inflation prints, as the economic backdrop differs significantly. We challenge the market's assumption that the ECB and Bank of England should automatically follow a more hawkish Fed

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Impact from hot US inflation was amplified by Fed comments

An unpleasant US inflation surprise for rates, taking the 10Y UST yield right back to 5%, is a justified move in our view. A core CPI reading of 0.3% MoM annualises to a yearly inflation number well above 3% and far from the Fed's target. Add additional uncertainty from energy prices and AI investments, and markets are right to be nervous. Last week's solid payrolls report also gives little reason for the Fed to choose a more dovish path for now.

Following on from Fed Governor Chris Waller's comment that he backs a 25bp hike in December and could opt for a 50bp hike, Treasury yields pushed even higher, with the 10yr up 6bp and 2yr up 13bp since before Waller's comments. Markets are now more than fully pricing in a 25bp hike in December, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, the hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. This will certainly help give a subdued November inflation print, but we won't get that until the day after the December FOMC meeting. The Fed may get a sneak peek, and that should give it the confidence to only raise rates by 2

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more exposed to energy prices and the US to AI-related growth. A tight correlation between US and European rates is warranted if driven by oil as the common denominator, but less so if triggered by macro data.

In addition, higher US rates imply tighter financial conditions for Europe, which means the ECB or Bank of England may not need to act as aggressively as currently priced. Many ECB speakers have indeed made the link between higher longer-dated interest rates and the reduced need to increase policy rates. In other words, markets are already doing the tightening. We therefore prefer to

focus on European inflation data and not get carried away by US CPI surprises.

Wednesday's events and market views

A relatively light data calendar. A US holiday also means trading could be quiet. More interesting might be the various ECB speakers lined up, including Cipollone, Kazaks, Nagel and Lagarde.

The UK will sell £1bn of Gilts, while Germany will auction €2.50bn in total across 30y and 21y Bunds.

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The dollar should stay supported by strong US growth, high inflation and a Fed threatening to tighten before weakening next spring as inflation falls. An AI correction looms large, and what about attractive overseas growth drawing funds away from the dollar?

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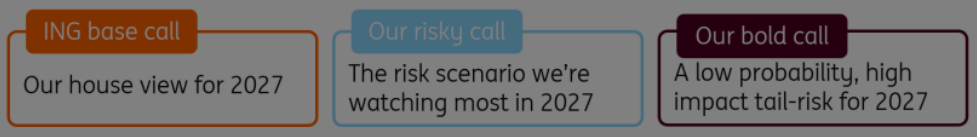

Source: ING

ING's base call: Dollar stays supported until next spring

Our base call assumes that the Federal Reserve stays hawkish in the first quarter, as decent US growth and above-3% inflation keep money markets pricing in the threat of an extended tightening cycle. That turns in the second quarter, when energy-driven base effects drop out of headline inflation and a return to the Fed's 2% inflation target sees short-dated US rates move meaningfully lower.

That timing also suits events in Europe. French budgetary politics look set to keep a risk premium in the euro ahead of April's elections. We therefore see EUR/USD trading offered in a 1.10-15 range over the next four to five months. From the

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lower.

Our bold call: Overseas growth surprises positively

EUR/USD rallied sharply in 2017 when Dutch and French elections saw euro-sceptic parties failing to advance. Having toned down her views on France leaving the euro, a decisive victory by Marine Le Pen in April and greater budget clarity could reassure markets. If eurozone growth continues to defy energy and political headwinds,

a rotation to European assets could be the surprise package for EUR/USD.

We're also watching Japan for signs that it could follow South Korea's lead and deliver stronger growth. There, chip exports have benefited the broader economy and the Bank of Korea revised up this year's GDP forecast to 3.3%, from 1.8% at the start of 2026. Japan supplies the manufacturing equipment and materials for chip production. Broader benefits to the economy from loose fiscal policy could see upside surprises to Japanese growth, tighter Bank of Japan policy and a much weaker USD/JPY.

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ING Global Outlook: Power Play

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US consumer price inflation came in hotter than expected, with headline CPI rising 0.4% month-on-month and core CPI up 0.3%, both a tenth of a percentage point above expectations. No year-on-year rates were published because the government shutdown meant no price data was collected in October 2025

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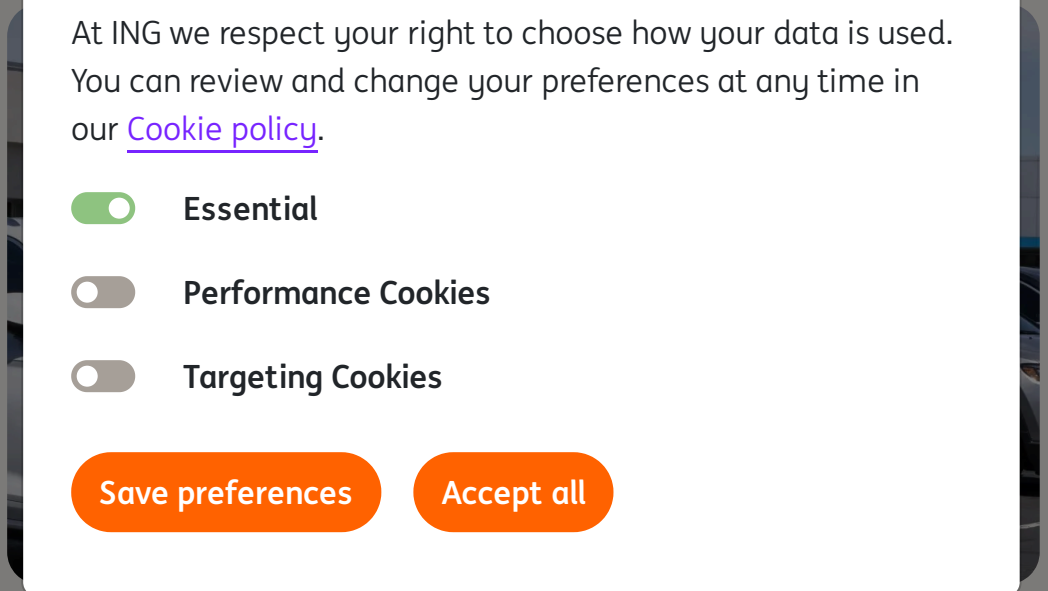

Used vehicle prices fell sharply in October

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There was some softness in the details of today's US CPI report, with new vehicle prices rising just 0.2% month-on-month and used vehicle prices falling 1.2%. But other components were hotter: medical care commodities rose 0.5%, transportation services jumped 0.8%, while shelter, the largest component of the CPI basket, increased 0.3%. Overall, headline CPI rose 0.4% and core 0.3%, both 0.1ppt above consensus.

Following on from Fed Governor Chris Waller's comments earlier today that he backs a 25bp hike in December and could even opt for a 50bp hike, Treasury yields have pushed higher, with the 10Y

and 2Y up 6bp and 13bp, respectively. Markets are now fully pricing in a 25bp hike at the December Fed meeting, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. If that continues, it should provide a meaningful drag on November headline inflation, but we won't get that data until the day after the December FOMC meeting.

The Fed may get a sneak peek of that data, giving it the confidence to only raise rates by 25bp. We are not forecasting any further hikes in 2027 as interest rate-sensitive sectors cool further, with housing costs and lower energy prices amid weak wage growth dampening p

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US CPI inflation

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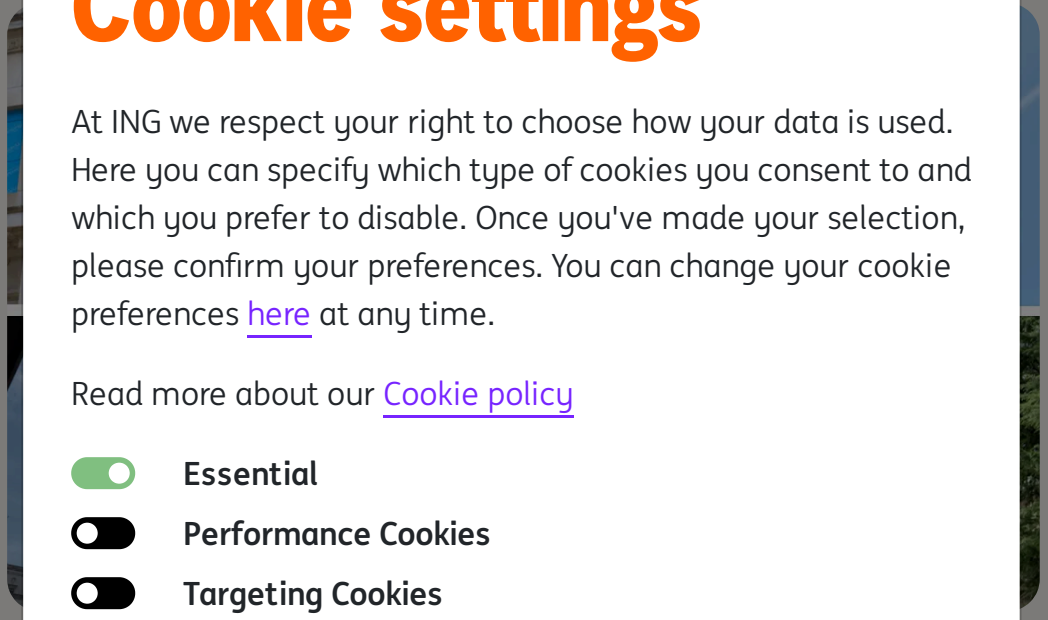
Here's our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England, the Bank of Japan and the People's Bank of China over the coming months

James Knightley, James Smith, Carsten Brzeski, Chris Turner and L



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prompted the Fed to hike rates in September and signal that at least one additional rate increase is likely.

This was all the ammunition markets needed to price in at least three additional 25bp moves. However, caution is creeping back into market pricing with officials skipping the October Federal Open Market Committee (FOMC) meeting despite higher-than-expected inflation prints. Instead, the near-uniform message is that the Fed is under no immediate pressure to hike amid growing evidence that interest-rate-sensitive parts of the economy are cooling while wage pressures look increasingly benign.

Additional Fed rate hikes will do nothing to ease tensions in the Middle East and likely do little to cool the strong pipeline of tech investment. We think the Fed will hike once more, at the December FOMC meeting, after which we expect a prolonged pause well into 2027.

European Central Bank

Another rate hike in December looks like a done deal, but looking beyond this year, the outlook for the ECB is clearly less certain. In fact, two main factors will be crucial for the ECB in 2027. One, the intensity and duration of the war in the Middle East and, with it, the t
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reached sufficient depth and longevity to justify further action.

Still, there's little evidence so far of second-round effects. Food inflation is remarkably benign. Our gauge of "energy intensive" inflation is actually down this year. And the jobs market is sufficiently cool, meaning wage pressures are unlikely to build materially. For now, it's too early for the Bank to let its guard down.

The data through winter and early spring will be crucial, particularly the April CPI report released in May, which is heavily affected by annual price resets. If by then there are still minimal signs of second-round effects, we think the Bank will feel comfortable

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turning more dovish by the summer. Ultimately, this could enable the BoE to cut rates before the end of 2027.

Bank of Japan

BoJ policy normalisation will continue. In October, the BoJ reached a milestone: finally hitting its 2% inflation target. That target had been set in 2013. The BoJ openly admits that real interest rates are negative. The debate naturally moves on to how quickly the 1.25% policy rate will be taken to neutral – commonly seen in the 1.75-2.00% area. We now look for 25bp hikes at the December and March meetings as the quarterly tightening cycle continues.

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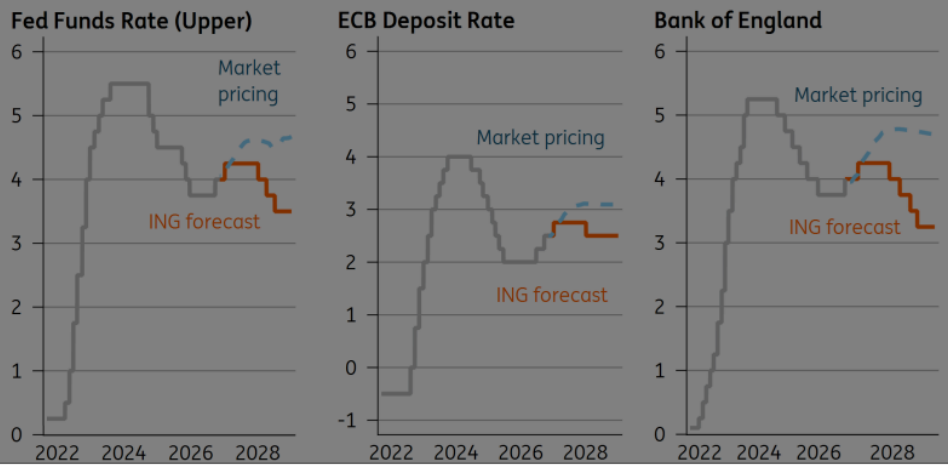
the worst levels since the pandemic, and could clearly benefit from further policy support. Third, the labour market looks soft, with lower wage growth and high youth unemployment.

The PBoC has preferred targeted easing measures rather than policy rate cuts. Bank net interest margins hit record lows and global central banks shifted into rate hike mode in 2026. We still see scope for both in 2027, especially if external demand starts to show signs of weakening. We currently look for a 10bp rate cut in mid-2027.

Our view on the major central banks



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Our base case assumes solid growth, cooling inflation and the Fed hiking once more as Middle East tensions subside. However, if President Trump feels constrained after the midterm elections and hawks within the Administration push for more aggression on Iran, we will face a very different economic outlook. Our bold call envisages an AI revolution

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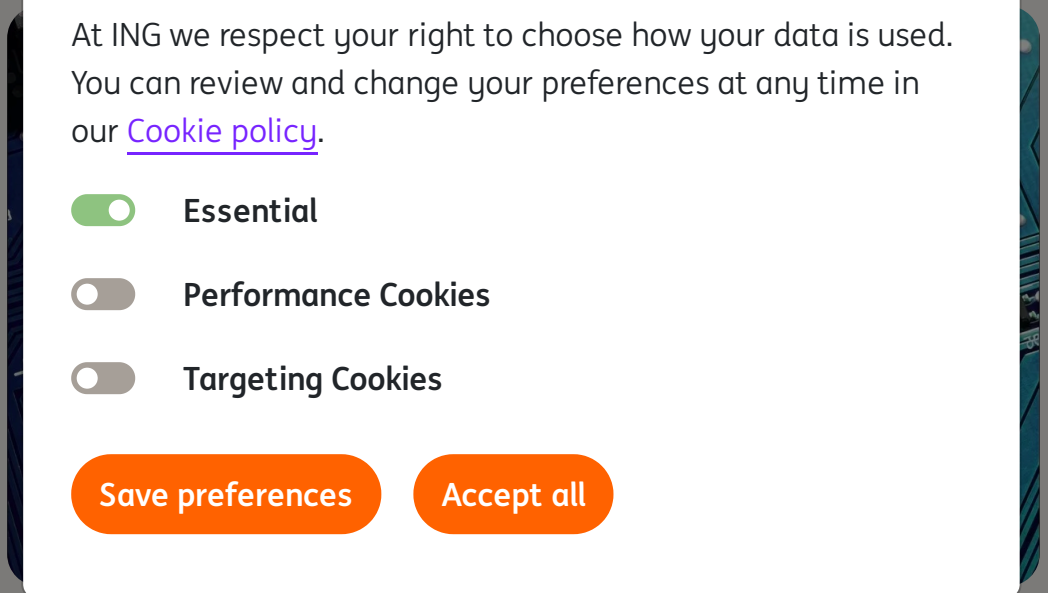

AI investment could supercharge US economic growth

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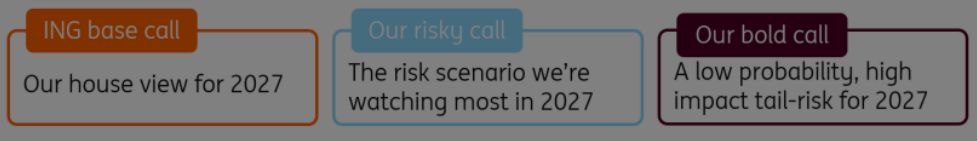

Source: ING

ING's base call: Solid growth and cooling inflation remains our call

We continue to expect respectable US growth of 2-2.5% over the next couple of years, but with ongoing bifurcation. Wealth gains are supporting spending among higher-income households, while weaker wage growth is pressuring middle- and lower-income households.

Within business investment, tech-related capex shows little sign of slowing, but appears to be cannibalising investment spending elsewhere and is contributing to the low-hire, low-

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Our risky call: Constrained Trump goes all-in for regime change in Iran

With President Trump constrained by a Democratic-led Congress, foreign and trade policy remain key sources of risk to our base case. For example, Iran hawks within the Administration could convince him that diplomacy won't work, meaning regime change in Iran is required. Disruption in the Gulf would then intensify, with energy prices spiking. At the same time, President Trump could demand NATO involvement, applying onerous tariffs on imports from members that refuse to participate in the conflict with Iran.

In this scenario, rising inflation could prompt the Fed to raise rates above 5%. Government borrowing would rise on military spending, but Treasury yields would be held down by 'safe-haven' buying as equity markets plunge. Recession risks would then mount through demand destruction as unemployment climbs. Iran would eventually be weakened sufficiently that attacks cease and energy flows resume. Oil, natural gas and fertiliser prices would then subside, with inflation falling rapidly. Monetary policy would be eased aggressively, but it would be too little, too late to prevent a painful downturn for the global economy.

Our bold call: Party like it's 1999? US growth hits 5% in 2027

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projections and lower inflation prompt Treasury yields to plunge. The Fed cuts rates while mortgage rates drop below 4%, triggering a recovery in the residential property market. The economy booms broadly, with equity markets soaring to new highs.

US Growth Federal Reserve

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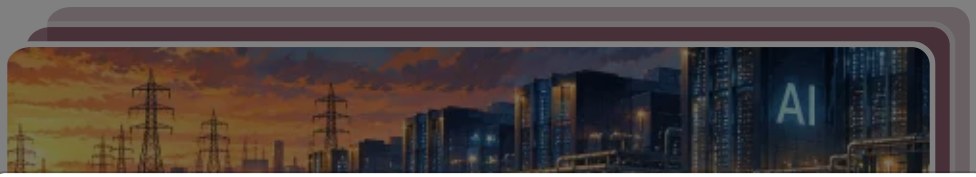

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Given the level of uncertainty in energy markets this year and with little sign of a change going into next year, any call on energy markets for 2027 is a low-conviction call. But here are our 3 calls for energy markets for 2027

Warren Patterson

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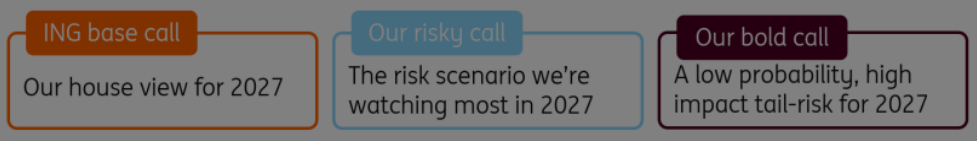

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ING's base call: Brent to average $77/bbl next year

Oil markets have been on a roller coaster this year given events in the Middle East. However, we are going into year-end with oil flows from the region near pre-war levels despite the lack of a deal between the US and Iran. While oil flows are normalising, the way oil is coming out of the region is anything but normal, which is reflected in the surge in tanker shipping rates, given the very inefficient oil flows.

Our base case assumes occasional flare-ups between the US and Iran, meaning a full normalisation of Persian Gulf supplies remains some way off and the oil market is likely to retain a degree of risk premium. However, provided there are no significant or prolonged disruptions, we expect the market

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The most likely candidate to leave OPEC is Venezuela, with the US's growing influence over the Venezuelan oil industry following the capture and arrest of President Maduro at the start of 2026. But we believe that some Persian Gulf producers may also question their membership, particularly if disagreements emerge over the capacity numbers used by the group to set production targets. Iraq has already made noise around production targets, and following the exit of the UAE, some members may be looking at them enviously, with the UAE pumping record volumes of crude since leaving the bloc.

Our bold call: TTF to trade sub-€40/MWh before the end of next year

European gas prices have strengthened significantly in 2026. But what goes up must come down, and we believe prices could fall sharply next year. There are clearly plenty of assumptions here, most importantly a normalisation of Persian Gulf LNG flows in early 2027. If that happens, we believe TTF could trade below €40/MWh by end-2027.

On the demand side, higher prices are already driving some industrial demand destruction, while we are deep in the gas-to-coal switching range. Furthermore, El Niño could bring milder weather to

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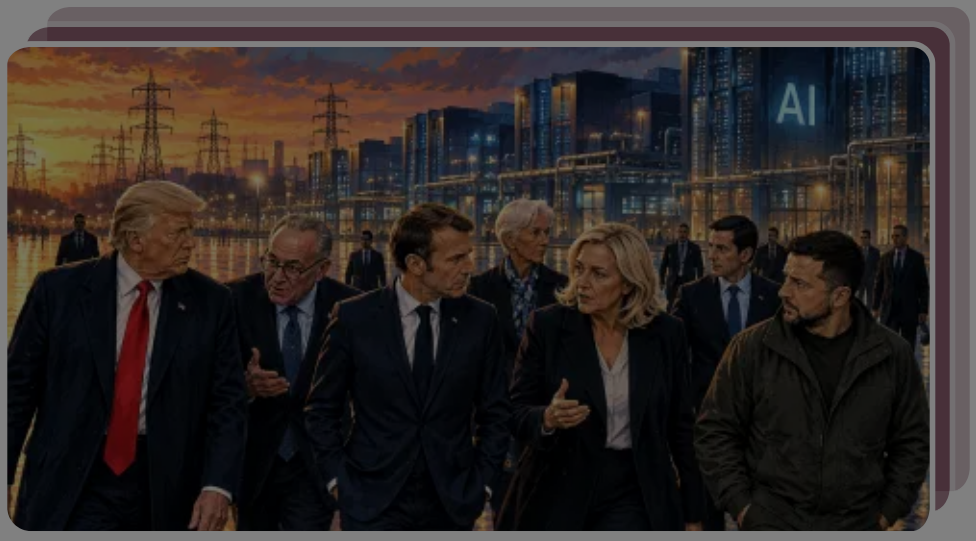

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Global trade will remain resilient in 2027, but the focus will shift from tariffs to ownership, technology and investment. While not our base case, an escalation in an EU-China trade war would rank among the most significant risks to global trade

Inga Fechner and Carsten Brzeski

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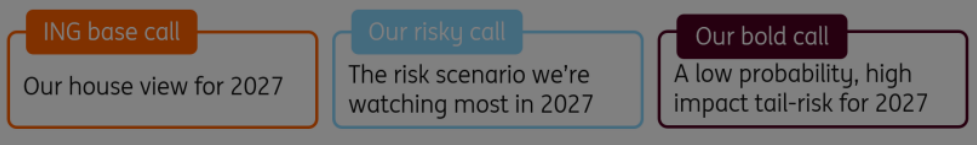

Source: ING

ING's base call: Trade survives politics

Global goods trade continues to weather geopolitical shocks. Over the past few years, trade has proved far more resilient than global headlines suggest. We expect that resilience to continue into 2027. Disruptions in global shipping, shifting tariff regimes and recurring geopolitical tensions have repeatedly altered trade routes without derailing trade itself.

Strong demand for AI-related investment and infrastructure should continue to support trade flows, particularly across Asia, while selective US-China decoupling is likely to benefit third countries that attract production and investment. For 2027, we expect global goods trade to remain positive, expanding about 3% year-on-year. In short, trade survives

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centre once supported for bringing local investment and jobs is now treated as a national-security risk. Companies that once navigated geopolitical tensions through diversification find themselves forced to choose sides. The question is no longer who exports the most, but who controls the productive capacity on which economies depend. Trade would continue, but the corporate structures that have kept it moving would start to fracture as governments alter trade flows. This could potentially cause global goods trade growth to stall or even contract in 2027.

Our bold call: EU-China trade war

The EU and China enter an outright trade conflict. Europe abandons its largely open-market approach and increasingly applies reciprocity principles to market access and investment. Chinese firms investing in strategic sectors face mandatory 50:50 joint ventures, local ownership requirements and growing restrictions on acquisitions.

At the same time, the EU imposes broad tariffs on Chinese imports, with rates reaching 50% in politically sensitive sectors such as vehicles, chemicals, machinery and electronics. China retaliates with measures of similar scale.

The consequences are significant. China accounts for roughly 15% of global goods trade, while the EU accounts for around 13.5%

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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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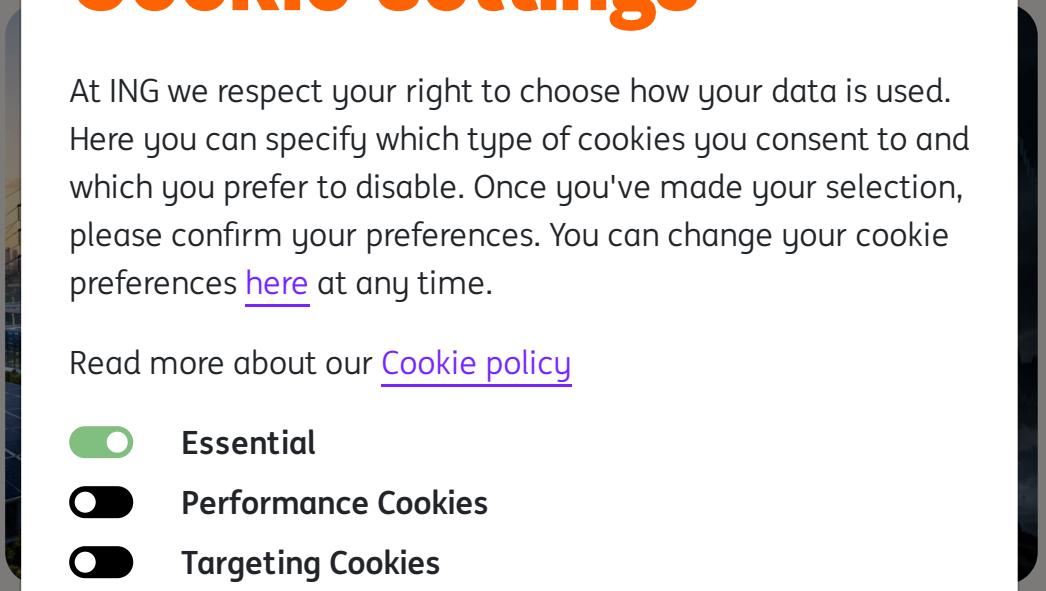

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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Energy affordability shaped the midterms. A divided government will now face pressure to shield consumers from rising data centre power costs while speeding up new energy supply. Onshoring and trade protections will continue, despite higher near-term costs, as energy security remains a priority

Coco Zhang

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protect supply chains. Pictured: Data centre in Ohio

Exit polls from the US midterm elections highlighted a key concern shaping voters' decisions: energy affordability. Nearly 90% of voters said the cost of living was a crucial or major factor in their vote for Congress, with many pointing to gasoline and utility costs. Meanwhile, as the AI data centre boom strains power supply and infrastructure, 56% said the issue was a crucial or major factor in their vote.

With Democrats now set to control both the House and Senate, what does this mean for US energy and data centre policy?

Newly elected lawmakers will face pressure to address these concerns, requiring the Democratic Congress and Republican White House to find common ground on shielding consumers from data centre-related costs and accelerating new power supply, including through permitting reform. Onshoring and supply chain protections are also likely to continue. While they can raise near-term costs, they remain important to US energy security. Developments in all three areas could have significant implications for businesses.

That said, Congress needs to strike a balance when drafting legislation aimed at achieving these goals. More aggressive measures could face a veto from President Trump.

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I… r… a… li… e… i… developers to bear relevant cost increases. Outright moratoriums remain unlikely to become mainstream. Where they are introduced, they are more likely to be temporary, giving states time to develop a data centre policy framework.

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At the federal level, the key unanswered question is how much authority should remain with the states and whether federal legislation should mandate state regulations or simply provide guidance. Republicans generally favour letting states lead, while Democrats tend to support a stronger federal role.

We think sweeping data centre legislation is unlikely because of President Trump's veto power. Federal action is more likely to focus

on affordability by protecting electricity customers from higher costs and formalising data centres' responsibility to help fund grid and energy infrastructure upgrades. Such measures could be added to broader legislation, such as must-pass spending bills needed to avoid a government shutdown, or a bipartisan package like permitting reform.

More broadly on AI, we expect the Democratic Party to increase scrutiny of technology companies, as discussed here, while utilising the next two years to prepare an AI governance framework for 2028 and beyond.

However, tighter AI and data centre regulation is unlikely to fundamentally alter the industry's growth trajectory. AI's

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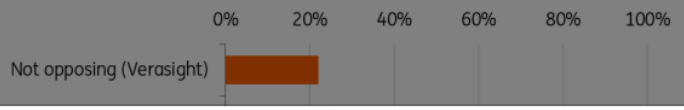
developers to be more selective and expand at a more measured pace, ultimately improving the quality of the project pipeline.

Developers should also treat community engagement as a strategic investment. Recent surveys show that while only 20-30% of Americans support local data centre construction, support can rise to 50-70% when there are accompanying community investments, such as in public infrastructure improvements or reductions in residents' costs. More developers are now signing binding community benefit agreements as part of project development.

Finally, sustainability will become more important for project development, not only to meet potential environmental standards, but also to build community support. Read more here.

Americans' perceptions on local data centre construction, with and without community investment



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B t rising demand from AI and manufacturing reshoring. They also generally agree that energy abundance can help reduce cost pressures. While Democrats and Republicans differ on the preferred energy mix, there is still common ground. Technologies likely to retain bipartisan support include nuclear, geothermal, carbon capture, and biofuels.

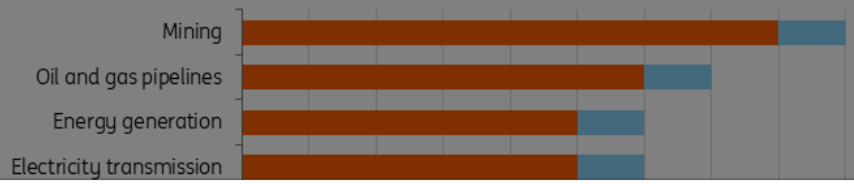
However, the greatest potential for policy action may lie not in specific technologies, but in permitting reform.

Today, many energy projects can spend over five years navigating the federal permitting process. Around $240bn to $280bn of infrastructure investment across the eight sectors below enters the

permitting pipeline each year. Lengthy delays can therefore leave substantial capital tied up and project benefits unrealised.

Average federal permitting time by sector in the US

Years; orange represents the lower end of the range, while blue represents the higher end



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administrations

- Making it easier to permit power transmission lines

Despite debate over its environmental impact, there is broad agreement that the BAAJA would meaningfully improve the permitting process. The key question is whether it can become law under the current Congress. The Senate is expected to vote on 9 November, after which the bill would still need approval from the House and President Trump. Democrats may want to delay the bill and seek changes once they regain control of Congress next year, but doing so could increase the risk of a presidential veto. This creates an incentive to reach a deal sooner rather than later.

Even if the BAAJA does not pass under the current Congress, permitting reform is likely to remain a bipartisan theme. The growing need to expand power supply and infrastructure more quickly will keep pressure on future Congresses to streamline permitting.

Business implications

For energy companies – both renewables and fossil fuels – the BAAJA could significantly shorten permitting timelines. If enacted, it would give project developers greater certainty, reducing the risk of litigation and permit cancellations. This

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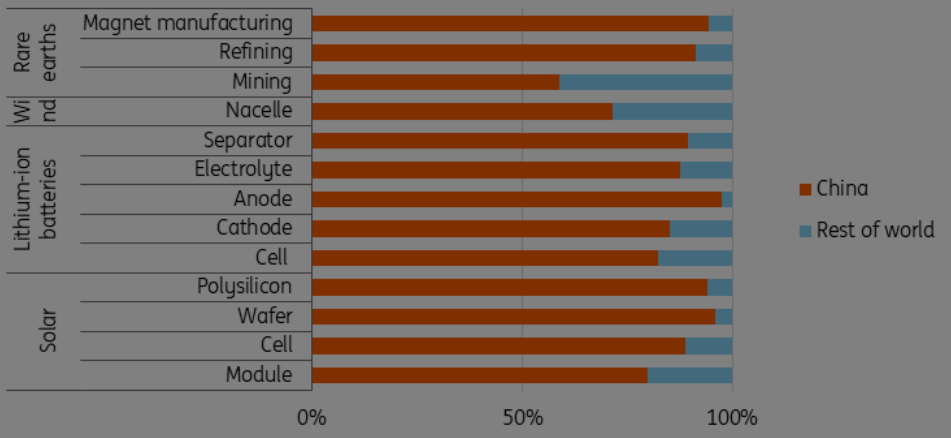
benefits of stronger domestic manufacturing and more secure supply chains could outweigh those costs.

Global supply chain capacity distribution across various sectors



Source: ING Research, BloombergNEF, International Energy Agency

This creates two key risks. First, heavy reliance on China leaves US industries vulnerable to geopolitical tensions. We have already seen the

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pursue further protective measures and is unlikely to face major opposition from Congress. Congress could also authorise additional funding to strengthen rare earth supply chains.

Furthermore, a Democratic-controlled Congress could push to extend clean manufacturing tax credits as part of broader negotiations with President Trump. Given the administration's focus on countering China and expanding US manufacturing, an extension could emerge as a compromise in a broader legislative package under an optimistic scenario. All these efforts would also extend into future administrations.

Business implications

For US companies:

Clean energy companies and other industries that rely on rare earths, including semiconductors, AI, defence, and electronics, should have enough policy certainty to build long-term supplier relationships outside China. In the near term, however, diversification could raise supply chain costs as alternative sources may be more expensive. Solar could face particular cost pressures, as some tariffs on supply chain equipment also apply to non-Chinese suppliers.

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duction, and subsidy rules. This could intensify global competition for non-Chinese suppliers and push costs higher.

United States | Sustainability | Energy production | Elections | Data centres

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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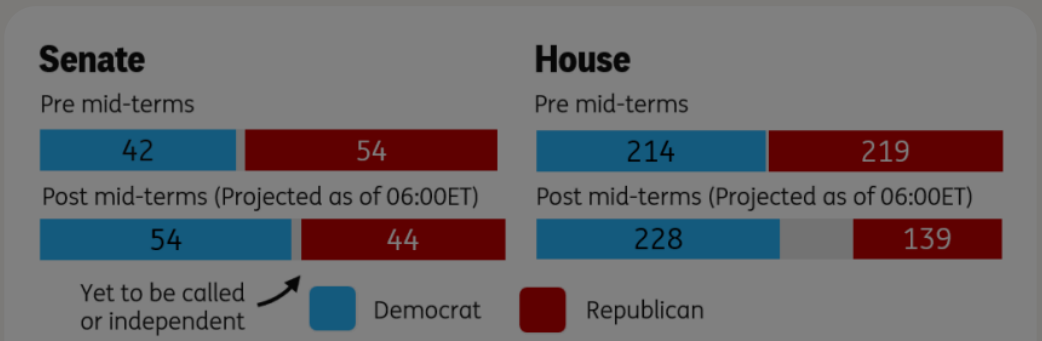
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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